

Intec Capital Ltd vs Triveni Silk Mills Ors on 7 February, 2025

IN THE COURT OF SMT. KANIKA HANDA,
JUDICIAL MAGISTRATE FIRST CLASS (NI ACT) -04,
SOUTH EAST, SAKET COURTS, NEW DELHI

JUDGMENT

Criminal Complaint No.:630885/2016 M/s Intec Capital Ltd.

Regd. Office-701, Manjusha Building 57, Nehru Place New Delhi-110019Complainant Versus

1. M/s Triveni Silk Mills Village Bajra, Rahon Raod Ludhiana-141001 Also at:

M/s Triveni Silk Mills 22, Indl. Area-A Ludhiana-141003

2. Mr. Shakti Jaggi S/o Sh. Amar Nath Jaggi Partner-cum-Authorized Signatory M/s Triveni Silk Mills Village Bajra, Rahon Road Ludhiana-141001 Also at:

M/s Triveni Silk Mills 22, Indl. Area-A Ludhiana-141003

3. Mr. Bhupinder Jaggi S/o Sh. Amar Nath Jaggi Partner-cum-Authorized Signatory M/s Triveni Silk Mills Village Bajra, Rahon Road Ludhiana-141001 Also at:

M/s Triveni Silk Mills 22, Indl. Area-A Ludhiana-141003Accused CNR No. :
DLSE020044462016 Offence complained of : U/s 138 Negotiable Instruments Act,
1881 Plea of accused : Pleaded not guilty.

Date of Institution of case	:	30.11.2013
Date of decision of the case	:	07.02.2025
Final Order	:	Convicted

Date:07.02.2025

1. Vide this judgment, I shall dispose of the aforementioned complaint case filed by the Complainant M/s Intec Capital Ltd.

through its AR (hereinafter referred to as the 'Complainant' or 'Complainant Company') against M/s Triveni Silk Mills (hereinafter referred to as the 'Accused No. 1/'Accused no.1 Firm'), Mr. Shakti Jaggi (hereinafter referred to as the 'Accused no.2') and Mr. Bhupinder Jaggi (hereinafter referred to as the 'Accused no.3') u/s 138 of Negotiable Instruments Act, 1881 (hereinafter referred to as 'NI Act' in short).

2. Factual Matrix: The Complainant's case is that Accused No.2 and 3 are the partners of the Accused no.1 firm which is involved in manufacturing and supplies of dress materials, acrylic velvet

& velvet strips and actively involved in day to day affairs of the firm. Further, Accused no.2 and 3 attended all the meetings which took place between the Complainant and Accused no.1 for a loan of Rs.2,35,00,000/- for the purpose of purchasing machines. Accused no.2 and 3 signed and executed all the necessary documents in favour of the Complainant Company such as Loan Agreement, Undertaking, Deed of Guarantee etc. Accused no.2 on behalf of accused no.1 executed a Loan Agreement bearing No.010/100 dated 30.10.2010 and secured a loan of Rs.2,35,00,000/- which was to be repaid with interest over a period of 36 months from the date of the agreement. In the said agreement executed, Complainant was a financier and Accused no.1, 2 and 3 were borrower and guarantor. Accused No.3 on behalf of Accused no.1 with the consent of Accused No.2 in discharge of legal liability, issued 35 post-dated cheques of Rs.8,04,549/- each all drawn on Canara Bank, SME, Ludhiana after paying the first instalment in advance. Thereafter, in the month of December, 2010, Accused no.3 issued new cheques bearing no.679526 to 679559 (total 34) dated 01.01.2011 to 01.10.2013 of Rs.8,04,549/- each and all drawn on HDFC Bank Ltd., G.T. Road, Ludhiana in lieu of the cheques issued on 30.10.2010; however, when the Complainant presented the cheques bearing no.679556 dated 01.07.2013 and no.679558 dated 01.09.2013 of Rs.8,04,549/-, the same got dishonoured vide return memo dated 26.09.2013 and 03.10.2013 respectively with remarks as "Payment stopped by Drawer". It is further alleged that after dishonourment of the above- mentioned cheques, complainant informed Accused persons to make the payment, however, they failed to do so. Thereafter, complainant sent a legal demand notice dated 21.10.2013 through speed post on 23.10.2013 with a demand to pay the cheque amount within stipulated time. The legal notice was served upon Accused persons on 26.10.2013. However, the accused did not come forward to repay his debt within the prescribed period of fifteen days. Hence, being aggrieved, the Complainant filed the present complaint under section 138 of the NI Act on 30.11.2013 and prayed that the accused be tried and punished under Section 138 of the NI Act.

3. Summoning of accused: The present complaint was filed before Dwarka MM, Delhi and vide order dated 17.12.2013, the accused persons were summoned by the Court. The case was transferred multiple times and was ultimately received by this court for proceeding further with the trial. The Accused no.2 entered his appearance for the first time in the present matter on 26.02.2014 and Accused no.3 through his counsel entered his appearance for the first time in the present matter on 06.08.2014.

4. Notice: The notice u/s 251 Cr.PC was framed against Accused persons on 23.07.2019, to which they pleaded not guilty and claimed trial and on 06.03.2020, Accused persons were granted the opportunity to cross examine the Complainant witnesses u/s 145(2) NI Act. Accused no.2 and 3 in their defence had stated that-

"I and the firm has already paid amount of over Rs.2 crores and have been persistently asking the complainant to furnish the accounts to check the due but the complainant is not forthcoming. I do not want to say anything else. "

5. Complainant's evidence: On 08.08.2024, 14.08.2024 and 30.08.2024, CW1 was examined on behalf of the Accused persons. To support his case, the Complainant had stepped into the witness box as CW1 and tendered his evidence by way of affidavit Ex.CW1/1 into evidence wherein

avermments made in the complaint were reiterated. He also relied upon various documents such as:

- a) Copy of Board Resolution as Ex.CW1/A (OSR);
- b) Letter of Authority as Ex.CW1/B (OSR);
- c) Present complaint as Ex.CW1/C;
- d) Loan agreement as Ex.CW1/D (OSR);
- e) Original cheques as Ex.CW1/E and Ex.CW1/F;
- f) Original Return memos as Ex.CW1/G and Ex.CW1/H;
- g) Copy of legal demand notice is Ex.CW1/I;
- h) Postal receipt is Ex.CW1/J (colly);
- i) Tracking reports of legal notice is Ex.CW1/K;
- j) Certificate u/s 65B of IE Act is Ex.CW1/L;
- k) Copy of sanction letter is Mark 1; and
- l) Copy of statement of account is Mark 2.

On 19.09.2024, CW2 Sh. Dinesh Negi (Accountant of the Complainant) was examined. He tendered his evidence by way of affidavit Ex.CW2/X into evidence and relied upon various documents such as:

- a) Letter of authority dated 14.01.2015 as Ex.CW2/1 (OSR);
- b) Copy of Board Resolution dated 07.02.2024 as Ex.CW2/2 (OSR); and
- c) Statement of account already marked as Mark 2.

6. Statement of accused u/s 313 Cr.PC: On 10.12.2024, the statement of Accused persons u/s 313 Cr.PC was recorded, wherein the Accused No.1 and 3 stated in their defence that:-

"We had some loan transactions with the complainant company. I am not aware. Accused no.2 used to look after the dealing with the complainant company. I was the partner and used to look after the production related work. I had signed only the blank forms, there was nothing filled in it. I am not aware of the loan agreement. I had signed only the blank cheques and no particulars of the cheques were filled by

me.I had signed only the blank forms."

Accused no.2 stated in his defence that:-

"I had taken a loan of about Rs.1,40,00,000/- for the purpose of purchasing the machinery. I had signed only blank forms. The complainant company had assured me that they will send back the filled and duly executed loan agreement to me, however, they never sent it to me. I had given only the blank signed cheques which were signed by accused no.3 and no particulars were filled on the same. I do not remember whether these cheques were issued on 30.10.2010 or not. I have paid more than Rs.2 crores to the complainant company. I do not have any legal liability towards the complainant company. The complainant company has never provided me with the copy of statement of account despite several requests."

7. Defence Evidence: Accused persons chose not to lead DE. However, during the cross-examination of the Complainant witness, the accused persons have produced the following documents:

a) Bank Statement of the Accused no. 1 exhibited as Ex.

CW1/D1; and

b) Copy of Sanction Letter dated 27.09.2010 as CW1/MarkD1.

8. Final Arguments: On 17.01.2025, 20.01.2025, 25.01.2025 and 31.01.2025, final arguments were heard on behalf of both the sides.

9. Arguments on behalf of the Complainant:

9.1 Ld. Counsel for the Complainant vehemently argued that the case of the Complainant stands proved and the accused has failed to create doubt on the case of the Complainant. Ld. Counsel for the Complainant submits that the accused had availed a loan of Rs. 2.35 Crores from the Complainant, by way of the Loan Agreement dated 30.10.2010. The said loan was repayable in 36 EMIs of Rs.

8,04,459/-. The accused persons in their defence have not denied the factum of taking loan from the Complainant, rather they have only stated that they had availed a loan of only about Rs. 1.42 Crores and they have repaid more than Rs. 2 Crores. Ld. Counsel for the Complainant argued that the page no. 17 of the Loan Agreement proves that the loan disbursed was of Rs. 2.35 Crores. Further, there are three corresponding entries in the Bank Statement produced by the Accused persons also, showing the credit of disbursement amount. The SoA starts from Rs. 2.41 crores, since Rs. 6 lakhs was the margin money. Further, the Accused persons have not denied their signatures on the Loan Agreement. Therefore, they cannot now negate the terms and conditions of the signed Loan Agreement. The Complainant has nowhere denied the payments made by the Accused persons in the loan account and same have been duly reflected/adjusted in the Statement of Account (SoA).

After adjusting all the payments, the total liability in the Loan Account as per the SoA as on 30.04.2015 stood at Rs. 18,601,540/-. It was further argued that the copy of the sanction letter produced by the Accused persons is not the final sanction letter. There were some errors which were rectified by issuing a new sanction letter. Further, the difference in percentage of RoI mentioned in both the sanction letters does not help the accused persons in anyway, since the EMI amount mentioned in both the sanction letters is the same. The late payment charges have been levied as per clause 34 sub clause 19 of the Loan Agreement @ 3% p.m. The complainant company is also authorised to charge the delay interest as per the terms of the agreement even after the loan becoming NPA. The accused persons have not led any defence evidence and they have failed to create a doubt in the case of the Complainant by cross-examining the CW1. Accordingly, the offence under section 138 NI Act stands proved beyond reasonable doubt and the accused persons be convicted. Ld. counsel for the Complainant has relied on following judgments in support of his arguments:

i. Rangappa vs. Sri Mohan, (2010) 11 SCC 441; ii. Sripati Singh vs. The State of Jharkhand and Ors., AIR 2021 SC 5732;

iii. Oriental Bank of Commerce vs. Prabodh Kumar Tewari , 2022 INSC 832;

iv. Suresh Chandra Goyal vs. Amit Singhal, CRL.L.P. 706/2014, Delhi High Court, decided on 14.05.2015; v. ICDS Ltd. vs. Beena Shabeer, (2002) 6 SCC 426; vi. Credential Leasing & Credits Ltd. vs. Shruti Investments & ors., 2015(4) JCC 252;

vii. CC Alavi Haji vs. Palapetty Muhammed , 2007(6) SCC 555;

and viii. Girish Chandra Tiwari vs. UCO Bank Lucknow Circle UP & Ors., AIR 2015 (NOC) 428 (All.)

10. Arguments on behalf of the Accused persons:

Per contra, Ld. counsel for the Accused persons argued that the SoA relied upon by the Complainant is not authentic, since there are multiple late payment charges and cheque bounce charges levied in the said statement, which remain unexplained by the Complainant. Further, there is another payment of Rs. 184,712/- made by the accused persons on 28.02.2012, which is not reflected in the SoA. The collateral amount mentioned in the SoA and the Loan Agreement is different. Furthermore, the SoA is a photocopy only, which cannot be read into evidence. It was further argued that the only a blank loan agreement was got signed by the Complainant from the accused persons, which is evident from certain pages of the loan agreement, which are blank till now and page 10 of the agreement has been partially filled in pencil only. Therefore, the terms and conditions of the loan agreement are not binding upon the accused persons. Another argument raised by the Ld. Counsel for the accused was that there are stark differences in the sanction letters produced by the accused persons and that produced by the Complainant- rate of interest & collateral amount

is different and the margin money has not been explained. Further, the AR of the Complainant has also stated that he does not have any knowledge of the communication of the collateral amount between the complainant and the accused and also cannot explain how much interest is due. The complaint does not specify the particular EMI for which the cheques in question have bounced. The complainant is unable to tell the total principal amount due and interest amount due. The complainant is not legally authorised to charge the interest and penalty after declaring the account as NPA. Ld. Counsel for the accused has placed reliance on certain RBI Circulars in this regard. Therefore, the Complainant has failed to prove the legally enforceable debt of the accused persons and accordingly, accused persons be acquitted from the offence under section 138 Negotiable Instruments Act, 1881. Ld. counsel for the Accused persons has relied on following judgments in support of his arguments:

- i. Dashrathbhai Trikambhai Patel vs. Mahendrabhai Patel, 2022 SCC Online SC 1376;
- and ii. Smt. J Yashoda vs. Smt. K Shobha Rani, 2007 INSC 441

11. Heard and perused the case file and the relevant law.

12. Before delving into the facts of the present case, it is pertinent to mention here the essential ingredients for constituting an offence under section 138 of the NI Act, as laid down by the Hon'ble Supreme Court in Jagdish Sehgal vs Shamsher Singh Gogi (2009) 14 SCC 383:-

"(i) a person must have drawn a cheque on an account maintained by him in a bank for payment of a certain amount of money to another person from out of that account;

(ii) The cheque should have been issued for the discharge, in whole or in part, of any debt or other liability;

(iii) that cheque has been presented to the bank within a period of six months¹ from the date on which it is drawn or within the period of its validity whichever is earlier;

(iv) that cheque is returned by the bank unpaid, either because of the amount of money standing to the credit of the account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with the bank;

(v) the payee or the holder in due course of the cheque makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within 15 days² of the receipt of information by him from the bank regarding the return of the cheque as unpaid;

(vi) the drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of the said notice;

Being cumulative, it is only when all the afore- mentioned ingredients are satisfied that the person who had drawn the cheque can be deemed to have committed an offence under Section 138 of the Act."

[Emphasis Added]

13. Accordingly, in light of the aforementioned precedent, following issues arise in the context of the present case:

(1) Whether cheques were given for discharge, in whole or part, of any legally enforceable debt or other liability? (2) Whether the cheques have been returned as dishonoured on ground of the insufficiency of funds? (3) Whether the demand for payment of the cheque amount was made within 30 days of the receipt of the information of dishonour 1 Now, it is three months as per RBI guidelines. 2 As per the latest provision, this timeline has been amended to 30 days.

of cheques?

(4) Whether the accused failed to make payment of the cheque amount within 15 days from the date of the receipt of the legal notice and the complaint was filed within one month from the date of arising of cause of action?

Whether cheques were given for discharge, in whole or part, of any legally enforceable debt or other liability?

14. It is pertinent to mention here that the accused persons in the present case had admitted that the cheques in question are of the bank account of the Accused no. 1 and had also admitted signatures of the authorised signatory on behalf of the Accused no. 1 firm, on the cheques in question. Therefore, the presumption arises under section 118 of the Negotiable Instruments Act, 1881 that the cheques in question were issued, or endorsed or transferred or accepted for consideration. As per section 118 (a) of NI Act, it shall be presumed that:-

"every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, indorsed, negotiated or transferred, was accepted, indorsed, negotiated or transferred for consideration".

Furthermore, as per Section 139 of NI Act, it shall be presumed that:-

"the holder of cheque, received the cheques for the discharge, in whole or in part, of any debt or other liability, unless the contrary is proved."

15. However, the aforesaid presumptions arising under the sections 118 and 139 NI Act are of rebuttable nature. In the case of M/s. Kumar Exports Vs. M/s. Sharma Carpets, 2009(1) R.C.R. (Criminal) 478, the Hon'ble Supreme Court held that:-

"Under Section 138 of the Act the accused has two options. He can either show that consideration and debt did not exist or that under the particular circumstances of the case the non-existence of consideration and debt is so probable that a prudent man ought to suppose that no consideration and debt existed. To rebut the statutory presumptions an accused is not expected to prove his defence beyond reasonable doubt as is expected of the Complainant in a criminal trial. The accused may adduce direct evidence to prove that the note in question was not supported by consideration and that there was no debt or liability to be discharged by him. Something which is probable has to be brought on record for getting the burden of proof shifted to the Complainant. To disprove the presumptions, apart from adducing direct evidence to prove the non existence of consideration the accused may also rely upon circumstantial evidence and if the circumstances so relied upon are compelling, the burden may likewise shift again on to the Complainant. The accused may also rely upon presumptions of fact, for instance, those mentioned in Section 114 of the Evidence Act to rebut the presumptions arising under Sections 118 and 139 of the Act. Once such rebuttal evidence is adduced and accepted by the court, having regard to all the circumstances of the case and the preponderance of probabilities, the evidential burden shifts back to the Complainant and, thereafter, the presumptions under Sections 118 and 139 of the Act will not again come to the Complainant's rescue".

16. Examining the facts of the present case in the light of aforesaid legal principles, the admissions on the part of the accused persons regarding the signatures on the cheques would give rise to twofold presumptions in favour of the Complainant i.e., firstly, that the cheques in question were issued on 01.07.2013 and 01.09.2013 for consideration; secondly, that the cheques in question were issued by the Accused no. 1 in favour of the Complainant in discharge of whole or part of the legal liability. Indisputably, the said presumptions are rebuttable in nature.

17. In the present factual matrix, the case of the Complainant is based upon the Loan Agreement Ex. CW1/D (OSR) and the Statement of Account Mark 2. In the plea of defence taken by the accused persons, they have not denied the existence of the loan agreement, rather they have merely differed on the aspect of the total loan amount borrowed by them and their total outstanding liability to the Complainant Company. During trial of the case, Ld. Counsel for the accused persons has stated that the accused persons are not bound by the terms of the loan agreement, since they had signed only a blank agreement. Further, the Accused persons have challenged the authenticity of the SoA placed on record by the Complainant Company.

18. The Accused persons in the present case have admittedly availed loan from the Complainant Company, on the basis of the Loan Agreement Ex. CW1/D (OSR) signed by them. They never made any complaint before any authority/forum that their signatures have been obtained by force or fraud

or misrepresentation by the Complainant Company, on the said Loan Agreement. It is only during the trial of this case that they have taken this plea that they had signed only a blank agreement. In this regard, firstly, this Court is of the view that a person signing a blank document is also deemed to have given authority to another person to fill the details on it. Secondly, the accused persons have themselves acted upon the said Loan Agreement, by availing the loan amount from the Complainant Company. Now, they are estopped from denying the terms and conditions of the said agreement, only by stating that they had signed the blank agreement. In such a situation, even if it is proven that the blank agreement was signed by the accused persons, still they cannot resile from the terms of the agreement, after taking advantage of the same. Thus, the aforesaid line of defence does not help the case of the accused persons.

19. Ld. Counsel for the Accused persons has also assailed the SoA produced by the Complainant on various grounds. Before adverting to the various objections raised, it is apposite to reproduce here the Section 34 of the Indian Evidence Act, 1872 to discuss about the relevancy of the SoA:

"Section 34 - Entries in books of account including those maintained in an electronic form when relevant-

Entries in books of accounts including those maintained in an electronic form, regularly kept in the course of business, are relevant whenever they refer to a matter into which the Court has to inquire, but such statements shall not alone be sufficient evidence to charge any person with liability."

Applying the afore-stated provision to the present factual matrix, it is found that the Accused persons have failed to bring any evidence to show that the SoA produced by the Complainant is not regularly maintained by it. Further, the Complainant has also produced certificate under section 65B Indian Evidence Act stating that the printouts have been taken from the computers of the Complainant Company and the said computers are regularly maintained and nothing adverse happened in the computers to cause any error in the information. Thus, as per the aforesaid provisions, the SoA produced by the Complainant, though is not a conclusive evidence, but is relevant for the decision of the present case. So far as the arguments of the Ld. Counsel for the accused persons regarding the late payment charges and cheque bounce charges levied in the SoA is concerned, Ld. Counsel for the Complainant has satisfactorily rebutted the said argument by submitting that the said charges have been levied only in accordance with the terms and conditions of the Loan Agreement. It has already been held in the previous paragraph that the Accused persons cannot resile from the terms of the Loan Agreement. Furthermore, the amount of Rs. 1,84,712/- dated 28.02.2012 paid by the Accused persons, being not reflected in the SoA also does not help the case of the Accused persons, since the amount of Rs. 2,43,750/- has been adjusted in the SoA on 22.06.2012, which is not reflected in the Bank Account Statement produced by the Accused persons. All other payments made by the Accused persons have been duly reflected in the SoA. The cash collateral of Rs. 82,28,000/- and margin money of Rs. 6,00,000/- i.e. a total of Rs. 88,28,000/- given by the Accused persons to the Complainant Company has also been duly adjusted in the SoA on 01.01.2013. Thus, no ground is made out to doubt the authenticity of the SoA maintained by the Complainant Company.

20. Another challenge by the Accused persons to the case of Complainant is pertaining to the total loan amount borrowed by them. However, the evidence on record reveals that the accused persons have failed to prove that a loan of only Rs. 1.40 crores was disbursed by the Complainant Company. The Loan Agreement clearly specifies that the loan was for a sum of Rs. 2.35 Crores. Further, the Loan Agreement also includes the 'Payment Instructions for Disbursal of the Loan' duly signed by the borrower, which proves that the loan amount was disbursed in three tranches of Rs. 27,53,000/-, Rs. 86,00,000/- and Rs. 1,11,73,960/- respectively and the remaining amount was deducted towards the processing charges and one advance EMI. The Loan Agreement also comprises of the 'Consideration Receipt' signed on behalf of the Accused persons acknowledging the receipt of Rs. 2.35 Crores. Even the Bank Statement of the Accused No. 1 (Ex. CW1/D1) corroborates the receipt of the aforesaid three tranches of loan amount from the Complainant Company on 30.10.2010, 01.11.2010 and 04.11.2010. Thus, the Accused persons have failed to prove that the Loan of Rs. 2.35 Crores was not disbursed. Further, merely by stating that the disbursement of the loan was not made to the dealer, as per the terms, the Accused persons cannot flout their liability.

21. The defence taken by the accused persons is that they have repaid more than Rs. 2 Crores, therefore, they are not liable to pay the cheque amount. However, admittedly, as per the terms of the Loan Agreement, the loan was to be repaid with interest in 36 EMIs of Rs. 8,04,549/- each. Thus, the total EMIs to be repaid comes to be Rs. 2,89,63,764/-. Apart from this, the Accused persons were also required to keep a collateral security of Rs. 82,25,000/- and margin money of Rs. 6,00,000/- as per the terms of the Loan Agreement (i.e. Clause 34). Further, due to the defaults made in the payment of instalments, the Accused persons are also liable to pay late payment charges, penal interest and cheque bounce charges, as per the terms of the Loan Agreement. As per the questions asked in the cross-examination of CW1, Ld. Counsel for the Accused persons has himself stated that total amount paid by the Accused persons to the Complainant Company is Rs. 2,11,00,783/-. It is pertinent to state here that the said amount includes a sum of Rs. 88,28,000/- given towards the collateral security amount and margin money as well. Thus, it is clear that the Accused persons had not discharged their entire liability on the Loan Account. As per the SoA, the accused persons were liable to pay Rs.1,01,92,281.83/- as on 11.09.2013 and Rs.1,04,93,996.02 on 30.09.2013 i.e. before the presentation of the cheques in question. No evidence has been led by the Accused persons to show that they were not liable to pay the cheques amount on the date of presentation of the cheques. It is also not the case of the Accused persons that the cheques in question have been presented in breach of the Loan Agreement.

22. So far as the argument of Ld. Counsel for the Accused persons that the penal interest has been charged in violation of RBI guidelines is concerned, then this argument also does not help the accused persons to rebut their liability under the provisions of Section 138 of the NI Act. The Accused persons can take recourse to the appropriate remedies under the regime of RBI for the said violations, if any, committed by the Complainant Company. However, the scope of trial of the present case cannot be extended to such a plea. The penal interest/ other charges have been levied only in accordance with the terms of the Loan Agreement, which has been, admittedly, signed by the Accused persons.

23. Further, the differences in the Sanction Letters- Mark 1 (produced by the Complainant) and Mark CW1/D1 (produced by the Accused persons) also does not work in favour of the Accused persons. The reason being that a sanction letter is not a binding agreement between the parties. A sanction letter can only be considered an offer from the lender to lend loan to the other party, on certain terms and conditions. When those terms and conditions are agreed upon by the borrower, the contract is concluded and a formal loan agreement is signed. It is only the loan agreement which conclusively binds the parties. In the present case, there is only one Loan Agreement placed on record i.e. Ex. CW1/D (OSR), which has been admittedly signed by the parties. Thus, the Loan Agreement being the binding document, any ambiguity in the sanction letter does not effect the merits of the case.

24. Further, the Accused persons cannot take a stand that they were never communicated about the collateral security or repayment schedule, since the same forms part of the signed loan agreement Ex. CW1/D (OSR). Moreover, the discrepancies arising during the cross-examination of the Complainant witnesses are not such, which can be said to be major contradictions, creating doubt on the case of the Complainant. Moving on further, the judgment of Dashrathbhai (supra) also does not add any sort of strength to the case of the Accused persons, since this ruling talks about endorsement of the part payment on the cheque in question, whereas, the Accused persons have not been able to prove any part payment by them after issuance of the cheques in question, which should have been endorsed thereon.

25. In view of the aforesaid analysis, the other arguments submitted by the Ld. Counsel for the accused persons also do not help the case of the accused persons in any way. Accordingly, considering the entire case in totality, this court finds that the accused persons have not been able to discharge their burden of proof to rebut the presumptions and raise reasonable doubts on the story put forth by the Complainant. Therefore, it is found that the issue - whether cheques were given for discharge, in whole or part, of any debt or other liability, is accordingly proved in favour of the Complainant and against the accused side.

Whether the cheques have been returned as dishonoured on ground of the insufficiency of funds?

26. By virtue of the return memo Ex.CW1/G and Ex.CW1/H, the Complainant has succeeded in proving that the cheques No.679556 and No.679558 were dishonoured on 26.09.2013 and 03.10.2013 respectively on the ground of "Payment stopped by Drawer". In Laxmi Dyechem v. State of Gujarat , (2012) 13 SCC 375, it has been held that the dishonour of the cheque on the ground of payment stopped is also included within the ambit of Section 138 of the NI Act. Thus, the Complainant has succeeded in proving the said issue in his favour.

Whether the demand for payment of the cheque amount was made within 30 days of the receipt of the information of dishonour of cheques?

27. It appears from the Ex.CW1/G and Ex.CW1/H that the cheques in question were dishonoured on 26.09.2013 and 03.10.2013 and the Legal Notice Ex. CW1/I was sent on 23.10.2013 as evidenced by the postal receipts Ex.CW1/J (colly). Thus, it is proved by the Complainant that the demand for the

payment of the cheque amount was made within 30 days of receipt of information of the dishonour of the cheques.

Whether the accused failed to make payment of the cheque amount within 15 days from the date of the receipt of the legal notice and the complaint was filed within one month from the date of arising of cause of action?

28. It transpires from the Ex. CW1/K that the demand notice was delivered to the accused on 26.10.2014. The accused has, nowhere, stated that the said legal demand notice was not sent on the correct address of the accused. It is an admitted fact that the accused did not make any payment to the Complainant within 15 days therefrom. The complaint was filed within 30 days thereafter on 30.11.2013. Thus, the Complainant has succeeded in proving this issue.

Conclusion qua Accused no.1

29. Therefore, in view of the material placed on record and arguments advanced by both the sides and detailed analysis of the evidence led by the parties, this court is of the view that the testimony of the Complainant in its evidence affidavit stands duly proved. Thus, the Complainant has succeeded in proving all the ingredients of section 138 of the NI Act. Whereas, the Accused no.1 has failed to rebut the presumptions raised in favour of the Complainant and to raise a probable defence of non-existence of any legally enforceable debt or liability to the reasonable satisfaction of this court. Thus, Accused no. 1 is found to be guilty for offence under section 138 of the NI Act.

Conclusion qua Accused no.2 and 3

30. Next this court has to decide the vicarious liability of the Accused no.2 and 3. In the facts of the present case, both Accused no. 3 is the signatory of the cheques in question and accused no. 2 is admittedly the partner of accused no. 1 firm. Accused no. 1 and 2 have nowhere taken a plea that the on the date of issuance of the cheques in question, they were not in-charge of day to day affairs of the Accused no.1 firm. Thus, Accused no. 2 and 3 are found to be vicariously liable being signatory/partner of the Accused No. 1 Company.

Final Conclusion

31. Resultantly, this court finds all the accused persons guilty and hence, Accused no.1 M/s Triveni Silk Mills, Accused No.2 Shakti Jaggi and Accused no.3 Bhupinder Jaggi stand convicted for the offence punishable U/s 138 NI Act.

32. Copy of this judgment be given free of cost to the accused persons. Digitally signed by KANIKA KANIKA HANDA HANDA Date:

2025.02.07 18:41:13 +0530 Announced in the open Court (KANIKA HANDA) on
07.02.2025 JMFC, NI Act-04, South-

East, Saket, Delhi/07.02.2025 This judgment contains 23 pages and each page has been signed by the Presiding Officer.